

Multiple Choice (10 marks)

1. A draft for \$800, due in 3 months and bearing interest at $4\frac{1}{2}\%$, was discounted 60 days before it was due. If the discount rate was 5%, what were the proceeds?
 - (a) \$810.00
 - (b) \$807.50
 - (c) \$802.26
 - (d) \$800.00
 - (e) \$795.00
2. Find the cost of each order. (a) 346 glasses @ 50 ¢ each (b) 870 nails @ $3\frac{1}{2}$ ¢ each (c) 125 chains @ \$16.48 each.
 - (a) 150.00, 33.45, \$2,500.00
 - (b) 173.00, 35.00, \$2,100.00
 - (c) 150.00, 25.45, \$2,100.00
 - (d) 173.00, 30.45, \$2,500.00
 - (e) 200.00, 35.00, \$2,500.00
3. Many retail brands adopt a single umbrella brand, based on the name of the organization. This is referred to as:
 - (a) Corporate brands.
 - (b) Generic branding.
 - (c) Manufacturer brand.
 - (d) Family branding.
 - (e) Product line branding.
4. On April 17, Mr. Hicky received a three-month note for \$800 bearing interest at 4%. On May 17, his bank discounted the note at a 6% interest rate. Find his proceeds.
 - (a) \$790.92
 - (b) \$798
 - (c) \$810
 - (d) \$799.92
 - (e) \$785.92

5. This is where intermediaries are given exclusive rights to market the good or service within a defined 'territory', thus using a very limited number of intermediaries:
- (a) Selective.
 - (b) Exclusive.
 - (c) Concentrated.
 - (d) Comprehensive.
 - (e) Specific.

True / False (10 marks)

Answer True or False

- 6. True or False: The refund amount for an insurance policy with an annual premium of 37 canceled after 33 days is 28.40.
- 7. True or False: Cognitive attitudinal models, such as the Theory of Social Identity, aim to explain consumer behavior through group norms.
- 8. True or False: The financing charge for the installment plan of a 250 stove, with a 25 down payment and 12 payments of 20, is 30.
- 9. True or False: The number of copies that minimizes the cost of mimeographing is 2000 copies.
- 10. True or False: Developing sales tactics is not considered a core marketing function by the British Government.

Long Form Response (20 marks)

Answer each question with a clear and complete explanation.

- 11. Debra Cole is considering two financing options for a used car priced at \$720. Analyze both options and determine which is more economical, providing detailed calculations and explanations for your conclusion.
- 12. Discuss the concept of market penetration rate in the context of innovation adoption. How does this rate impact business strategy and market dynamics?

End of Paper